



University of St.Gallen

Institute of Accounting, Control
and Auditing

Principles of Financial Management

Lecture 3: Statement of Profit or Loss and Statement of Cash Flows

Business Administration B
Spring Semester 2026

From the News

Cash Flow

Revenue

Vs

Who Will **WIN**



If you run out of cash, then you stop paying salaries and supplier invoices you will be left alone.

From the News: Nestlé in comparison

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can you show a chart with share prices of Nestle and the biggest 5 competitors over the last 5 years

Step 1: Define “biggest competitors”

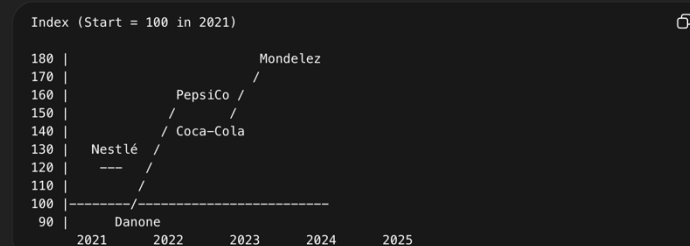
For Nestlé, the most comparable global peers (by size and sector overlap) are typically:

- Unilever
- PepsiCo
- The Coca-Cola Company
- Mondelez International
- Danone



Step 3: Chart (normalized performance)

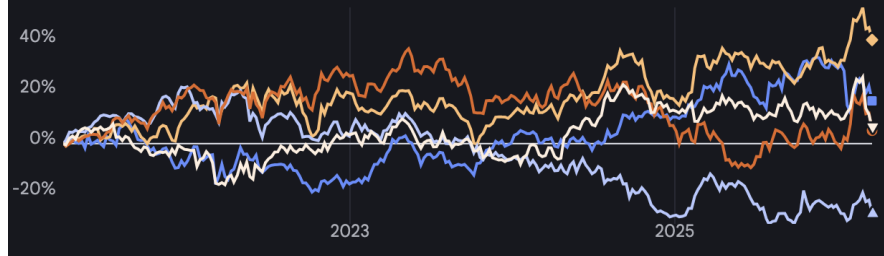
Below is a normalized index chart (all start at 100 five years ago), which is the standard way analysts compare stocks:



Price comparison chart

As of 20 Mar, 21:00 CET • Disclaimer

■ BN ♦ KO ▲ NESN ● PEP ▼ ULVR



From the News: Nestlé in detail



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Annual Revenue Performance (2021–2025)

The following table highlights the transition from peak reported sales in 2022 to the lower levels seen in the most recent fiscal years.

Fiscal Year	Reported Sales (CHF)	Organic Growth	Key Driver
2021	87.1 Billion	+7.5%	Strong retail recovery
2022	94.4 Billion	+8.3%	Peak reported sales
2023	93.0 Billion	+7.2%	Pricing (+7.5%) (-0.3%)
2024	91.4 Billion	+2.2%	High exchange rates reported total
2025	89.5 Billion	+3.5%	Positive volume

Critical Development Factors

- **Pricing vs. Volume:** Between 2022 and 2024, revenue growth was almost entirely dependent on [price increases](#) to combat inflation. Real Internal Growth (RIG), which measures volume, was negative or flat until a recovery began in late 2025.
- **Currency Impact:** The strength of the **Swiss Franc** has consistently acted as a "drag" on reported figures. For example, in 2023 alone, foreign exchange reduced reported sales by 7.8%.
- **Strategic Portfolio Rotation:** Nestlé has aggressively managed its portfolio, with rotation since 2017 accounting for roughly 20% of its 2017 sales. Major divestitures, such as the sale of L'Oréal shares and various water brands, have lowered the total revenue base while focusing on high-growth categories like **PetCare** and **Coffee**.
- **2025 Recovery:** Under new leadership, Nestlé saw a rebound in the second half of 2025, with organic growth reaching [4.0% in Q4](#) as volume growth (RIG) accelerated to 1.3%. [www.nestle.com](#) +3

Does the leadership manage the transition well?

From the News: Nestlé leadership

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GEOPOLITICS DEMOCRACY SCIENCE SWISS IDENTITY ECONOMY SWISS ABROAD

Workplace >

Whistleblowing platform led to dismissal of Nestlé CEO

Journalists in Switzerland, where Nestlé's headquarters is based, could be forgiven for missing an email sent to their inboxes on September 1 at 7pm, well outside regular Swiss working hours. It was a press release announcing the dismissal of Nestlé CEO Laurent Freixe exactly a year after he was appointed to lead the company.

According to a Nestlé spokesperson, Freixe was not dismissed for having a relationship with a junior colleague but for failing to report it, as required by Nestlé's Code of Business Conduct. The company implements mandatory conflict of interest declaration

According to media reports, Freixe only made the matter worse by denying the existence of the relationship, which was later confirmed by a second probe, to the company's board of directors.



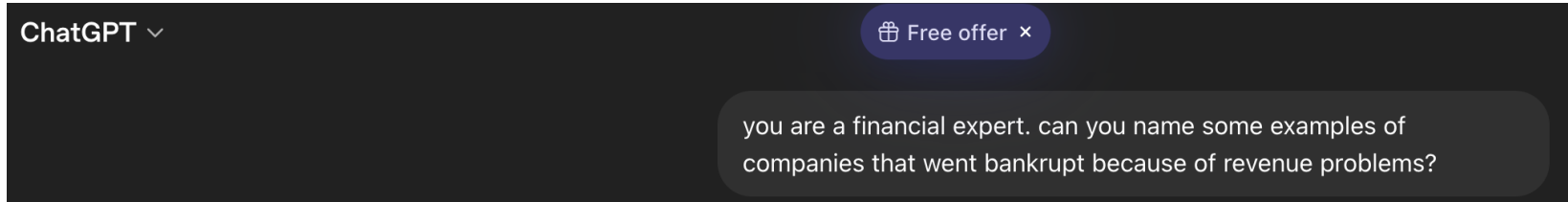
with whom did he have a relationship

Laurent Freixe had an undisclosed romantic relationship with a **female direct subordinate** at Nestlé. While the company and major news outlets have not publicly disclosed her name to protect her privacy, several key details about her and the relationship have been reported: www.aljazeera.com +4

- **Professional Background:** She was a marketing executive who was not on the company's executive board.
- **Timeline:** The two reportedly met in **2022** while Freixe was serving as the head of Nestlé's Latin America business.
- **Promotion Allegations:** Following their meeting, her career reportedly "progressed rapidly". Freixe allegedly promoted her to **Vice President of Marketing** for a regional division in 2023.
- **Conflict of Interest:** The relationship was flagged via the company's "Speak Up" hotline due to concerns over **improper favoritism**.
- **Departure:** The employee has since parted ways with Nestlé, reportedly after receiving a severance package. www.aljazeera.com +6

Freixe is currently married to **Agata Balcerowska**, a senior executive at Publicis. www.thetimes.com +1

From the News: examples of **revenue** related bankruptcies



Toys "R" Us

- Bankruptcy in 2017
- Sales steadily declined due to Amazon, Walmart, and changing shopping habits, which made its heavy debt load unmanageable.



Key Financial Pattern Behind These Failures

Across these cases, the mechanism is similar:

1. **Revenue declines** (competition, disruption, or demand shift)
2. Fixed costs remain high (stores, factories, leases)
3. Margins compress → operating losses
4. Debt becomes unserviceable
5. Liquidity crisis → bankruptcy

Blockbuster

- Video rental giant that went bankrupt in 2010
- Core issue: collapsing revenue as consumers shifted to streaming services and DVDs by mail.
- Fixed store costs remained high while revenue fell.



From the News: examples of **cash** related bankruptcies

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You are a financial expert. can you give me some examples of companies that went bankrupt because of cash problems?

🛍️ Retail: Toys "R" Us



- **What happened:** Filed for bankruptcy in 2017
- **Core issue:** Massive debt from a leveraged buyout
- **Cash problem:** Even though sales were still strong, the company had huge interest payments and not enough cash to reinvest in stores or e-commerce
- **Lesson:** You can be profitable on paper but still run out of cash if debt obligations drain liquidity



✈️ Aviation: Pan American World Airways

- **What happened:** Shut down in 1991
- **Core issue:** Rising fuel costs + declining ticket sales
- **Cash problem:** Couldn't generate enough short-term cash to cover operating costs
- **Lesson:** High fixed costs + sudden revenue drops = cash crunch

🚗 Automotive: DeLorean Motor Company

- **What happened:** Bankrupt in 1982
- **Core issue:** Production delays and low sales
- **Cash problem:** Ran out of working capital before scaling production
- **Lesson:** Timing matters—delays can kill cash reserves



From the News



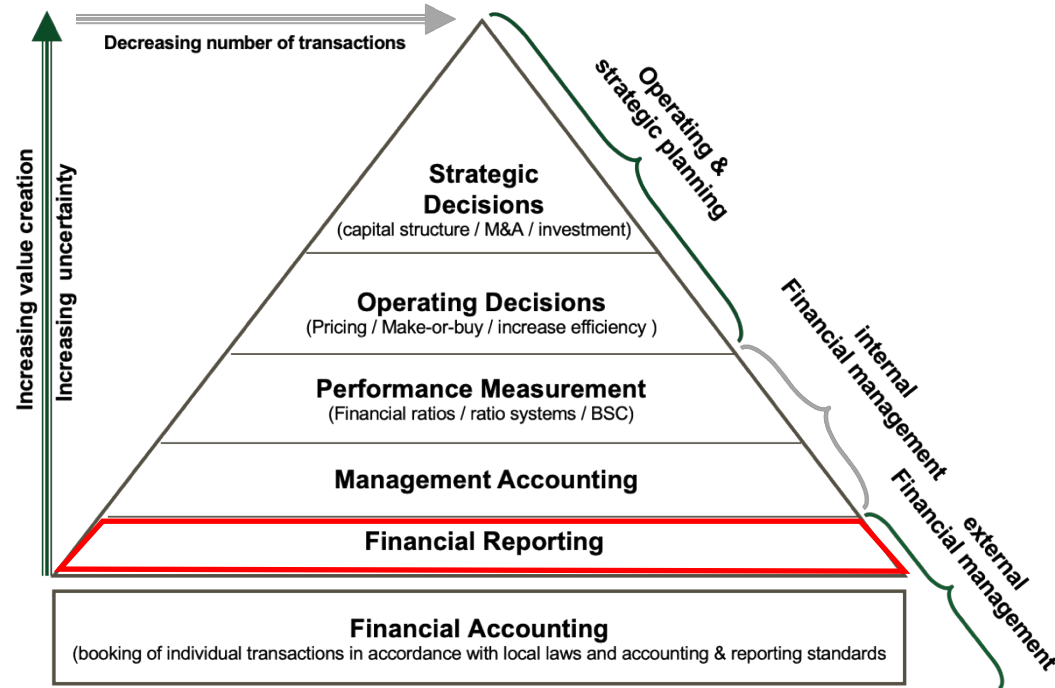
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The course is part of Business Administration B and consists of lectures, required reading, and exercises.

Calendar Week	Semester Week	Date	Lecture							Exercise Groups (Fridays)
			#	Topic/Title of Lecture	Required Readings (to be prepared before lecture and exercises)	Lecture Times				
						German Track Group 1	German Track Group 2	English Track		
8	1	16.2.-20.2.	Business Ethics (Prof. Dr. Michael Festl)	1	Lecture 1: Basics: Virtue Ethics, Deontology, Utilitarianism		Tue 8.15-10 a.m.	Mon, 12.15-2 p.m.	Mon, 2.15-4 p.m.	Coaching for Academic Term Paper
9	2	23.2.-27.2.		2	Lecture 2: Sustainability	Text 1: Club of Rome (1972): <i>Limits to Growth</i> , Introduction Text 2: Williams (2015): <i>Green Giants</i> , pp. 1-14; 95-123; 245-254				Exercise 1: Case Study South Pole
10	3	2.3.-6.3.		3	Lecture 3: Responsibility	Text 1: Friedman (1962): <i>Capitalism and Freedom</i> , pp. 133-136 Text 2: Stout (2012): <i>The Shareholder Value Myth</i> , Preface, Introduction, Chapter 4 & 8				Exercise 2: Case Study Responsible Business Initiative
11	4	9.3.-13.3.	Financial Management (Dr. Simon Pfister)	4	Lecture 1: Introduction	Script Schäfer, Principles of Financial Management, Chapter 1 & 2	Tue 8.15-10 a.m.	Mon, 12.15-2 p.m.	Mon, 2.15-4 p.m.	
12	5	16.3.-20.3.		5	Lecture 2: Statement of financial position	Script Schäfer, Principles of Financial Management, Chapter 3 & 4				Exercise 1: Introduction & statement of financial position
13	6	23.3.-27.3.	Financial Management (Dr. Simon Pfister)	6	Lecture 3: Statement of profit or loss and statement of cash flows	Script Schäfer, Principles of Financial Management, Chapter 5 (excluding 5.5) & 6				Exercise 2: Statement of profit or loss
14	7	30.3.-3.4.	Exercises Week (Dissidents)							
16	9	13.4.-17.4.	Financial Management (Dr. Simon Pfister)	7	Lecture 4: Management accounting	Script Schäfer, Principles of Financial Management, Chapter 10	Tue 8.15-10 a.m.	Mon, 12.15-2 p.m.	Mon, 2.15-4 p.m.	
17	10	20.4.-24.4.		8	Lecture 5: Performance Measurement	Script Schäfer, Principles of Financial Management, Chapter 11				Exercise 3: Management accounting
18	11	27.4.-1.5.		9	Lecture 6: Financing	Script Schäfer, Principles of Financial Management, Chapter 12				Exercise 4: Performance measurement
19	12	4.5.-8.5.								St. Gallen Symposium & Dies academicus
20	13	11.5.-15.5.		10	Lecture 7: Mergers & Acquisitions (M&A) + Guest Lecture	Script Schäfer, Principles of Financial Management, Chapter 14	Mon, 12.15-2 p.m.		Mon, 2.15-4 p.m. + Wed, 8.15-10 a.m.	Exercise 5: Financing and statement of cash flows
21	14	18.5.-22.5.				Tue 8.15-10 a.m.	Mon, 12.15-2 p.m.		Exercise 6: M&A and wrap up	
End of lecture period										
22		26.5.		Financial Management Optional Repetition		Mon, 12.15-2 p.m.		Mon, 2.15-4 p.m.		

Financial Management can be understood as providing layered information, at different times for different purposes.



Financial reporting uses external quality references and therewith is rather general.

The third lecture discusses the information presented in the Statement of Profit or Loss and the Statement of Cash Flows.

Learning objectives: students shall ...

- be able to read and understand the statement of profit or loss
- be able to calculate and interpret the free cash flow
- understand the differences between Statement of Profit or Loss and the Statement of Cash Flows

Preparation

- Self study of Reader chapters 5 and 6

The third lecture discusses the information presented in the Statement of Profit or Loss and the Statement of Cash Flows.

1. Statement of Profit or Loss
2. Statement of Cash Flows
3. Effect on profit and effect on cash

Profit warnings repeatedly send share prices (i.e. stock markets) south. So Sales and Profit are still key ratios for financial markets.

September 30, 2024

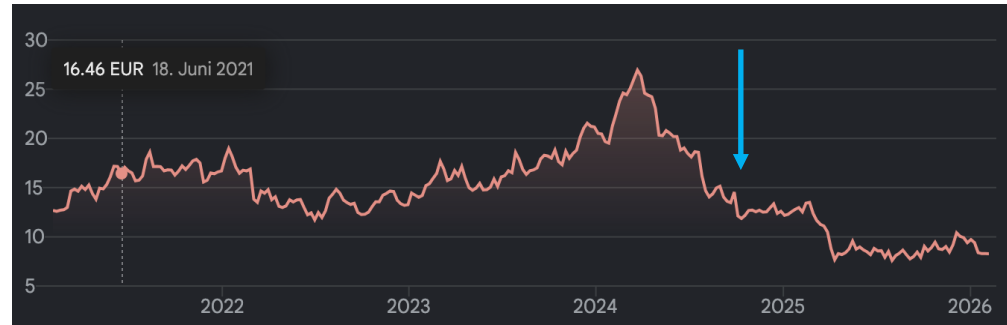
Stellantis Updates 2024 Financial Guidance



AMSTERDAM – Stellantis N.V. today revised its 2024 financial guidance, reflecting decisions to significantly enlarge remediation actions on North American performance issues, as well as deterioration in global industry dynamics.

The Company's updated 2024 market outlook and financial guidance is as follows:

- Adjusted operating income ("AOI") margin – Expected to be between 5.5 - 7.0% for the FY 2024 period, down from prior "double digit". Roughly two-thirds of the reduced AOI margin is driven by corrective actions in North America. Other contributors include lower than expected sales performance in the second half of the year across most regions.
- Industrial free cash flow – Expected to range from -€5 billion to -€10 billion, from prior "Positive". This primarily reflects the substantially lower AOI outlook as well as the impact of temporarily elevated working capital in the second half of 2024.



Too little too late?

Despite decreasing sales, most earnings increase. The increase in profit of the year results from income from non-controlled entities.

**Consolidated
Financial Statements
of the Nestlé Group 2024**



In millions of CHF			
	Notes	2024	2023
Sales	3	91 354	92 998
Other revenue		366	353
Cost of goods sold		(48 670)	(50 328)
Distribution expenses		(7 567)	(7 765)
Marketing and administration expenses		(18 112)	(17 549)
Research and development costs		(1 667)	(1 656)
Other trading income	4	124	132
Other trading expenses	4	(1 195)	(1 665)
Trading operating profit	3	14 633	14 520
Other operating income	4	474	298
Other operating expenses	4	(383)	(755)
Operating profit		14 724	14 063
Financial income	5	358	284
Financial expense	5	(1 843)	(1 644)
Profit before taxes, associates and joint ventures		13 239	12 703
Taxes	13	(3 314)	(2 314)
Income from associates and joint ventures	14	1 249	1 120
Profit for the year		11 174	11 509
of which attributable to non-controlling interests		290	300
of which attributable to shareholders of the parent (Net profit)		10 884	11 209

«Associates» are 'subsidiaries' owned less than 50% by Nestlé. «Joint ventures» are owned 50% by Nestlé. «Non-controlling interests» are other owners, e.g. the Chinese subsidiary is owned 20% by the government.

Companies can choose to structure the statement of profit or loss according to two different methods. Here is the COGS method.

Sales revenue
- Cost of goods sold (COGS)
Gross profit
- Distribution expenses
- Administrative expenses
- Other expenses
EBIT

Expenses	Revenue
Cost of goods sold (COGS)	Sales revenue
Other costs (presented by cost department)	
EBIT	

The COGS method allows the calculation of a gross profit for production companies. But other details which are important for e.g. cost saving measures such as total personnel expenses, total depreciation, etc. are not disclosed.

On uses the cost of good sold method: showing positions like COGS, Marketing, R&D, etc., i.e. expenses by department.

(CHF in millions)	Notes	Year ended December 31,		
		2024	2023	2022
Net sales	2.1	2,318.3	1,792.1	1,222.1
Cost of sales		(912.6)	(724.8)	(537.2)
Gross profit		1,405.7	1,067.2	684.9
Selling, general and administrative expenses	2.3	(1,194.2)	(887.0)	(599.8)
Operating result		211.6	180.2	85.1
Financial income	4.4	23.5	11.5	5.7
Financial expenses	4.4	(23.1)	(11.3)	(6.4)
Foreign exchange gain / (loss)	4.4	67.7	(111.4)	(6.5)
Income before taxes		279.6	69.1	77.9
Income tax benefit / (expense)	6.4	(37.4)	10.5	(20.2)
Net income		242.3	79.6	57.7

The second structuring method for the statement of profit or loss is the total cost method.

Sales revenues
+ Increase in inventories of finished goods and unfinished goods
- Decrease in inventories of finished goods and unfinished goods
+ Goods and services on own account
- Expenses for raw materials and supplies
- Expenses for employee benefits
- Depreciation
- Other expenses
EBIT

Expenses	Revenue
Total costs for the period (presented by cost type)	Sales revenue
EBIT	Inventory increase

Totals by expense type, like total depreciation expenses, total material expenses, etc. are disclosed, but no expense details by department (production, sales, R&D, etc.). In the accounting lecture, the total cost approach was taught.

Swatch group uses the total cost method and therefore showing positions like total personnel expenses, and changes in inventory.



	Notes	2024 CHF million	%	2023 CHF million	%
Net sales	[4, 5a]	6 735	100.0	7 888	100.0
Other operating income	[5b]	263	3.9	136	1.7
Changes in inventories		213	3.2	687	8.7
Material purchases		-1 345	-20.0	-1 864	-23.6
Personnel expense	[11]	-2 506	-37.2	-2 550	-32.3
Depreciation and impairment on property, plant and equipment	[8]	-368	-5.5	-346	-4.4
Amortization and impairment on intangible assets	[9]	-48	-0.7	-44	-0.6
Other operating expenses	[6a]	-2 640	-39.2	-2 716	-34.4
Operating result		304	4.5	1 191	15.1
Other financial income and expense	[18]	44	0.6	-36	-0.5
Interest expense	[18]	-3	-0.0	-4	-0.0
Share of result from associates and joint ventures	[18, 32]	-2	-0.0	-1	-0.0
Ordinary result		343	5.1	1 150	14.6
Non-operating result	[5c]	2	0.0	2	0.0
Result before income taxes		345	5.1	1 152	14.6
Income taxes	[27b]	-126	-1.8	-262	-3.3
Net result		219	3.3	890	11.3

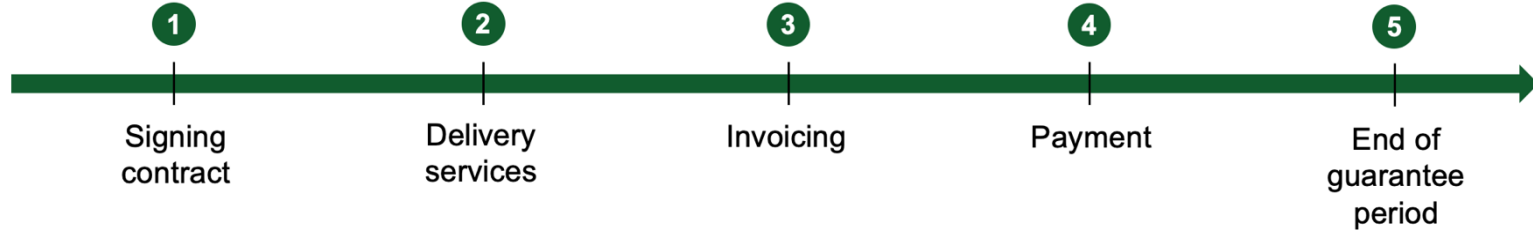
Comparing the COGS method and the total cost method reveals that differences are only up to EBIT.

Sales revenue	
Total cost method	Cost of goods sold method
+ Other operating revenue	
+/- Changes in inventories of finished goods and unfinished goods	- Cost of goods sold (COGS)
- Costs of raw materials and supplies	= Gross profit
- Costs of employee benefits	
- Costs of depreciation	- Distribution costs
- Other expenses	- Administrative expenses
	- Other expenses
+/- Income from discontinued operations	
Operating Income (EBIT)	
+/- Financial income and expenses	
+ Income from investments in equity companies (consolidation)	
Earnings before taxes (EBT)	
- Taxes	
Profit of the period	
Income attributable to shareholders of the parent	Minority interests

Financial
result

Taxes

What is the right point in time to recognize revenues – according to modern financial reporting?



1. Upon signing he legally binding contract with the customer
2. When the services agreed in the contract are delivered
3. Upon sending the invoice
4. Upon payment by the customer
5. When the guarantee period defined in the contract ends

At what point in time may revenue/expense transactions be recognized and consequently they increase/decrease profit?

Consolidated Financial Statements of the Nestlé Group 2024



Revenue

Sales represent amounts received and receivable from third parties for goods supplied to the customers and for services rendered. Sales are recognized when control of the goods has transferred to the customer, which is mainly upon arrival at the customer.

Revenue is measured as the amount of consideration which the Group expects to receive, based on the list price applicable to a given distribution channel after deduction of returns, sales taxes, pricing allowances, other trade discounts and couponing and price promotions to consumers. The level of discounts, allowances and promotional rebates is recognized as a deduction from revenue at the time that the related sales are recognized or when the rebate is offered to the customer (or consumer if applicable). They are estimated using judgments based on historical experience and the specific terms of the agreements with the customers. Payments made to customers for commercial services received are expensed. The Group has a range of credit terms which are typically short term, in line with market practice and without any financing component.

Expenses

Operating expenses are presented in the income statement using the function of expense method, as this is the method used by management to analyze performance and is commonly used in the consumer goods industry, and thus provides more relevant information.

Cost of goods sold is determined on the basis of the cost of purchase or of production (comprised of the costs of raw and packaging material, direct labor, energy, manufacturing overheads and depreciation of factory assets, which are allocated to products using activity-based drivers), adjusted for the variation of inventories. It includes the cost of royalties due to third-party licensors for the use of their intellectual property, which are accrued in accordance with the respective agreement. Cost of goods sold also includes amortization of intangible assets related to acquired licenses to sell products or to use technology, as well as maintenance and depreciation of equipment used in the sales process like coffee machines and water coolers.

All other expenses, including those in respect of advertising and promotions, are recognized when the Group receives the risks and rewards of ownership of the goods or when it receives the services. Government grants that are not related to assets are credited to the income statement as a deduction of the related expense when they are received, if there is reasonable assurance that the terms of the grant will be met.

Revenue recognition according to IFRS 15 builds on legal ownership transfer and the value of returned services.

As of January 2018, IFRS 15 replaces the old IAS 18 standard

Now there is a 5 step model to decide on revenue recognition



In summary: revenue shall be recognized at the moment of “handing over” to the customer, at the value that the company can expect from the return service in exchange for handing over the goods or services to the customers.



IFRS 15 leads to more judgement (and leeway) by companies. Examples include long-term construction project (percentage of completion and guarantees/rework) or Telecoms selling 24 months subscription with phone for 1.-

Whenever estimates by the company are required, certain leeway is possible and to be expected.

Consolidated Financial Statements of the Nestlé Group 2024



Key accounting judgments, estimates and assumptions

The preparation of the Consolidated Financial Statements requires Group Management to exercise judgment and to make estimates and assumptions that affect the application of policies, reported amounts of revenues, expenses, assets and liabilities as well as disclosures. Estimated climate impacts, current and probable stated regulatory changes and Nestlé's environmental commitments have been taken into account. These estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances. The estimates and underlying assumptions are reviewed on an ongoing basis. Information about potential impacts under alternative scenarios (including, among others, the policies aligned with the Paris ambition and Nestlé's environmental commitments) on the medium and long term, aligned with the Task Force on Climate-related Financial Disclosures (TCFD) methodology, has been considered. Management believes that the Financial Statements as at December 31, 2023 reflect the most reasonable view of the value of the assets and liabilities at this date. The implications for the Group and the global economy of the war in Ukraine (described in Note 2) as well as potential escalations are highly uncertain, and remain difficult to predict or quantify. Actual results and outcomes could differ from the judgments and estimates taken into account in these Consolidated Financial Statements.

Those areas that involved a higher degree of judgment or uncertainty are explained further in the relevant Notes, including:

- assessment of control and estimation of the fair value of net assets acquired in business combinations and the fair value of considerations received with regard to disposal of businesses (see Note 2);
- recognition and estimation of revenue (see Note 3);
- presentation of additional line items and subtotals in the income statement (see Note 4);
- identification of a lease and lease term (see Note 8);
- identification of cash generating units (CGUs) and estimation of recoverable amount for impairment tests (see Note 9);
- assessment of useful lives of intangible assets, including assessment as finite or indefinite (see Note 9);
- measurement of employee benefit obligations (see Note 10);
- recognition and measurement of provisions (see Note 11); and
- estimation of current and deferred taxes, including uncertain tax positions (see Note 13).

The auditor has access to the assumptions and considerations for estimations.

Impairments are examples which typically offer significant leeway as they include expectations for the future.

Consolidated Financial Statements of the Nestlé Group 2024



7. Trade and other receivables/payables

7.1 Trade and other receivables

Recognition and measurement

Trade and other receivables are recognized initially at their transaction price and subsequently measured at amortized cost less loss allowances. Other receivables are comprised mainly of receivables for indirect taxes.

Expected credit losses

The Group applies the IFRS 9 simplified approach to measuring expected credit losses (ECLs) for trade receivables at an amount equal to lifetime ECLs. The ECLs on trade receivables are calculated based on actual credit loss experience over the preceding three to five years on the total balance of non-credit impaired trade receivables, adjusted for forward-looking information where relevant (such as a significant deterioration in the economic environment). The Group's credit loss experience has shown that aging of receivable balances is primarily due to negotiations about variable consideration.

The Group considers a trade receivable to be credit impaired when one or more detrimental events have occurred such as:

- significant financial difficulty of the customer; or
- it is becoming probable that the customer will enter bankruptcy or other financial reorganization.

Impairment losses related to trade and other receivables are not presented separately in the consolidated income statement but are reported under the heading Marketing and administration expenses.

Impairment of goodwill and intangible assets (including non-commercialized intangible assets)

Goodwill and intangible assets with an indefinite life or not yet available for use are tested for impairment at least annually and whenever there is an indication of impairment. Finite life intangible assets are tested when there is an indication of impairment.

The annual impairment tests are performed at the same time each year and at the cash generating unit (CGU) level. The Group defines its groups of CGUs for goodwill impairment testing based on the way that it monitors and derives economic benefits from the acquired goodwill. The CGUs are generally defined at the level of the product category per Zone, or at the level of the GMB if the products are managed on a global basis.

For indefinite life intangible assets, the Group performs the test at the level of the smallest identifiable assets or group of assets that generate cash inflows that are largely independent of the cash inflows from other assets or groups of assets. Finally, non-commercialized intangible assets are tested at the level of the intangible asset itself.

The impairment tests are performed by comparing the carrying amount of the assets of these CGUs with their recoverable amount, usually based on their fair value less costs of disposal, but occasionally on their value in use.

An impairment loss in respect of goodwill is never subsequently reversed.

Provisions also include estimations by the management, to what percentage the recognition criteria are fulfilled (>50%?)

Consolidated
Financial Statements
of the Nestlé Group 2024



11. Provisions and contingencies

Provisions

Provisions comprise liabilities of uncertain timing or amount that arise from restructuring plans, environmental, litigation and other risks. Provisions are recognized when a legal or constructive obligation stemming from a past event exists and when the future cash outflows can be reliably estimated. Provisions are measured at the present value of the expenditures unless the impact of discounting is immaterial. Obligations arising from restructuring plans are recognized when detailed formal plans have been established and when there is a valid expectation that such plans will be carried out by either starting to implement them or announcing their main features. Obligations under litigation reflect Group Management's best estimate of the outcome based on the facts known at the balance sheet date.

Contingent assets and liabilities

Contingent assets and liabilities are possible rights and obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not fully within the control of the Group.

The third lecture discusses the information presented in the Statement of Profit or Loss and the Statement of Cash Flows.

1. Statement of Profit or Loss
2. Statement of Cash Flows
3. Effect on profit and effect on cash

Cash is inevitable for a company to survive. During a crisis (or growth) it is utmost important to keep your eyes on cash.

The Deloitte logo, consisting of the word "Deloitte" in white sans-serif font on a black rectangular background, followed by a small green dot.

Our recent report, *COVID-19: Managing supply chain risk and disruption*, provided 25 recommendations for companies that have business relationships and supply chain flows to and/or from China and other impacted geographies. One of these recommendations was to focus on cash flow. Supply chain disruptions have cash flow implications across the extended supply chain that can't be underestimated. This paper will suggest ways organizations can mitigate damages to their business during this volatile event.

<https://www2.deloitte.com/content/dam/Deloitte/global/Documents/About-Deloitte/gx-COVID-19-managing-cash-flow-in-crisis.pdf>

Cash is inevitable for a company to survive. During a crisis (or growth) it is utmost important to keep your eyes on cash.

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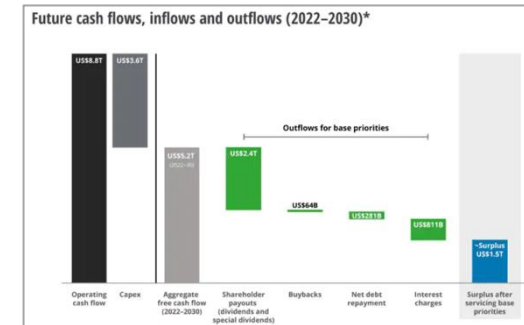
Article

3 minute read · 25 August 2022

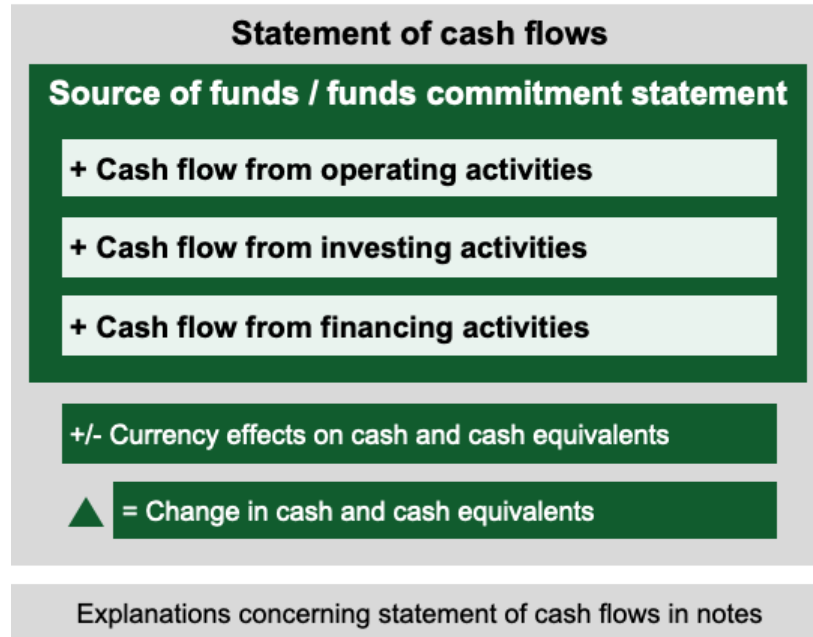
Striking the balance: How and where will oil and gas producers deploy their cash?

While the world underwent a big shift over the last few years, another realignment has been underway in the oil and gas (O&G) industry. The COVID-19 pandemic, geopolitical developments, and underinvestment in hydrocarbons have pushed energy commodity prices to record levels, causing a readjustment in energy markets, trading relationships, organizational priorities, and broader energy market narratives. As a result, the industry is likely to generate its highest ever free cash flow of US\$1.4 trillion in 2022 (at an assumed average, Brent oil price stands at US\$106/bbl in 2022). Additionally, over the last few years, the industry's attempts to improve its capital discipline have paid off—it is in one of its healthiest periods currently, with its lowest ever leverage ratio (20%) and one of its highest ever dividend yields (6%), compared to other sectors.

<https://www2.deloitte.com/us/en/insights/industry/oil-and-gas/rising-oil-prices-and-oil-company-cash-reserves.html>



The Statement of Cash Flows analyses from which sources the company has received cash, and for what cash has been spent.



Profit must not automatically result in more cash. Therefore, the statement of cash flows complements the statement of profit or loss with the view on “cash is king”.

Start-ups and fast-growing companies like On face the challenge that the cash flow from operating activities do not fuel the growth.

Consolidated Interim Statements of Cash Flow (unaudited)

(CHF in thousands)	For the nine months ended September 30,	
	2021	2020
Net income / (loss)	16,751	(24,961)
Share-based compensation	22,018	39,607
Employee benefit expenses	1,091	598
Depreciation and amortization	19,391	8,133
Interest income and expense	1,608	430
Net exchange differences	(1,432)	1,227
Income taxes	14,688	3,307
Change in provision	2,351	1,116
Trade receivables	(51,218)	(15,410)
Inventories	(40,914)	(29,720)
Trade payables	8,373	5,348
Change in other current operating assets and liabilities	1,038	4,067
Income taxes paid	(2,218)	(5,036)
Cash flow from operating activities	(8,473)	(11,292)

Despite increasing sales (>+50%) and profit, the cash flow from operating activities is negative because of building up inventories and receivables. In the long run, this cash flow must be positive,

To fuel its growth, On significantly and continuously invests in tangible assets, which leads to cash outflow and a negative cash flow from investing activities (which is normal, however for established companies lower than the cash flow from operating activities).

Purchase tangible assets	(12,028)	(6,872)
Purchase of intangible assets	(8,127)	(5,051)
Payment of contingent considerations	(200)	(26)
Cash flow from investing activities	(20,355)	(11,950)
Repayment of financial liabilities	—	(3,000)
Payments of lease liabilities	(6,874)	(2,109)
Proceeds from issue of shares	618,262	133,266
Equity transaction costs	(363)	(1,464)
Interests paid	(1,598)	(425)
Cash flow from financing activities	609,427	126,268

The IPO contributed a sky-rocking inflow of cash. This inflow is absolutely necessary to cover the negative cash flows from operating and investing activities. However, IPO is a one-time option, and also the potential for further share increase is limited.

The IPO did provide enough cash for further growth: highly negative cash flow from operating activities, small other cash flows.

(CHF in thousands)	Nine-month period ended September 30,	
	2022	2021
Net income	84,123	16,751
Share-based compensation	2,682	22,018
Employee benefit expenses	811	1,091
Depreciation and amortization	33,677	19,391
Loss/(gain) on disposal of assets	1,795	—
Interest income and expenses	1,133	1,608
Net exchange differences	(45,710)	(1,432)
Income taxes	18,187	14,688
Change in provisions	(8,895)	2,351
Change in working capital		
Trade receivables	(74,944)	(51,218)
Inventories	(123,008)	(40,914)
Trade payables	11,892	8,373
Change in other current assets / liabilities	(34,589)	1,038
Interests received	3,240	—
Income taxes paid	(27,493)	(2,218)
Cash inflow / (outflow) from operating activities	(157,100)	(8,473)

Purchase of tangible assets	(43,732)	(12,028)
Purchase of intangible assets	(5,557)	(8,127)
Payment of contingent considerations	—	(200)
Cash inflow / (outflow) from investing activities	(49,290)	(20,355)
Payments of lease liabilities	(10,385)	(6,874)
Proceeds from issue of shares	—	618,262
Proceeds on sale of treasury shares related to share-based compensation	24,710	—
Equity transaction costs	—	(363)
Interests paid	(4,314)	(1,598)
Cash inflow from financing activities	10,010	609,427
Change in net cash and cash equivalents	(196,379)	580,600

For the calculation of the cash flow from operating activities, two options exist. This is the direct method.

+ Cash revenue	+ Payment receipts from the sale of goods or the provision of services + Payment receipts from usage remuneration, fees, commission and other earnings + Payment receipts from the sale of financial instruments from the trading portfolio
- Cash expenses	./. Payments to suppliers (cost of goods sold) ./. Payments to and for employees (wage and salary payments, personnel expenses) ./. Payments associated with other operating expenses ./. Payments for the acquisition of financial instruments for the trading portfolio
Option: interest, dividends, taxes	+ Payment receipts from interests and dividends ./. Payment for interests, dividends and taxes
= Cash flow from operating activities (direct)	

This calculation requires disclosing additional information (e.g. payments from customers, payments to employees), which are in none of the other statements.

This is the calculation of the cash flow from operating activities using the indirect method, i.e. starting with EBIT.

EBIT: Earning before interest and taxes (profit/loss)	
+ Non-cash expenses	+ Depreciation and Impairments + Increase in provisions + Losses from impairments + Other non-cash expenses
- Non-cash revenue	./ Extraordinary sales gain (e.g. income from disposals of property, plant and equipment) ./ Dissolution of provisions ./ Other non-cash revenues
+/- Changes in operating working capital (WC)	Consideration of changes in inventories, receivables and liabilities: ./ Increase in accounts receivable (funds commitment) or + Decrease in accounts receivable (release of funds) ./ Increase in inventories (funds commitment) or + Decrease in inventories (release of funds) + Increase in accounts payable (source of funds) or - Decrease in accounts payable (use of funds)
Option: interest, dividends, taxes	+ Payment receipts from interests and dividends ./ Payment for interests, dividends and taxes
= Cash flow from operating activities (indirect)	

The indirect calculation does not offer additional insights, instead it uses the existing information such as impairment again.

**Consolidated
Financial Statements
of the Nestlé Group 2024**



In millions of CHF	Notes	2024	2023
Operating activities			
Operating profit	16	14 724	14 063
Depreciation and amortization	16	3 582	3 458
Impairment	16	580	647
Net result on disposal of businesses	4	62	221
Other non-cash items of income and expense	16	(229)	82
Cash flow before changes in operating assets and liabilities		18 719	18 471
Decrease/(increase) in working capital	16	1 208	1 134
Variation of other operating assets and liabilities	16	(334)	(425)
Cash generated from operations		19 593	19 180
Interest paid		(1 539)	(1 330)
Interest and dividends received		273	193
Taxes paid		(2 411)	(2 801)
Dividends and interest from associates and joint ventures	14	759	699
Operating cash flow		16 675	15 941

Despite increase in profit, the cash flow from operating activities is lower, mainly because of an increase in working capital (i.e. higher receivables, higher inventory; maybe because of growth, i.e. new geography or new products).

Calculation of the cash flow from investing activities, only a direct method applies.

+ Divestments of non-current assets	+ Payment receipts from sales of property, plant and equipment, intangible and other long-term assets from non-current assets + Payment receipts from the sale of subsidiaries (less relinquished cash and cash equivalents) + Payment receipts from other investments
- Investments in non-current assets	./. Payments for the acquisition of property, plant and equipment, intangible and other long-term assets from non-current assets ./. Payments for the acquisition of subsidiaries (less cash and cash equivalents acquired) ./. Payments for other investments ./. Choice: interest, dividends and income tax payments (may also be captured in operating and financing activities)
Option: interests, dividends, taxes	+ Payment receipts from interests and dividends ./. Payment for interests, dividends and taxes
= Cash flow from investing activities	

For this calculation, additional information are required: total new investments, and total divestments, etc.

Nestlé engages in investment as well as divestment at the same time, with typically a negative cash flow from investing activities.

**Consolidated
Financial Statements
of the Nestlé Group 2024**



Investing activities			
Capital expenditure	8	(5 638)	(5 714)
Expenditure on intangible assets	9	(325)	(489)
Acquisition of businesses, net of cash acquired	2	(809)	(211)
Disposal of businesses, net of cash disposed of	2	(23)	215
Investments (net of divestments) in associates and joint ventures	14	(532)	(582)
Inflows/(outflows) from treasury investments		(1 251)	(80)
Other investing activities ^(a)		(46)	665
Investing cash flow		(8 624)	(6 196)

For larger companies negative cash flows from investing activities (i.e. many replacing investment and some innovation, e.g. through acquisitions) may be expected. A positive cash flow from investing activities indicates a restructuring.

Calculation of the cash flow from financing activities, only a direct method applies.

+ Increase in financial liabilities and equity	+ Payment receipts from the issuance of equity instruments + Payment receipts from the assumption of financial liabilities
./. Reduction in financial liabilities and equity	./. Outflows for the repayment of financial liabilities ./. Outflows for the repayment of capital to shareholders (equity instruments) ./. Outflows for the payment of liabilities from financial leasing liabilities ./. Payments for changes in shareholding proportions in subsidiaries not stemming from the attainment or loss of control
Option: interests, dividends, taxes	+ Payment receipts from interests and dividends ./. Payment for interests, dividends and taxes
= Cash flow from financing activities	

For this calculation, additional information are required: total dividend paid this year for the profit of last year, loans paid back, new loans, etc.

Because of significant profit distributions, in 2022 Nestlé needs additional money inflow from financing activities (bonds, loans, etc.)

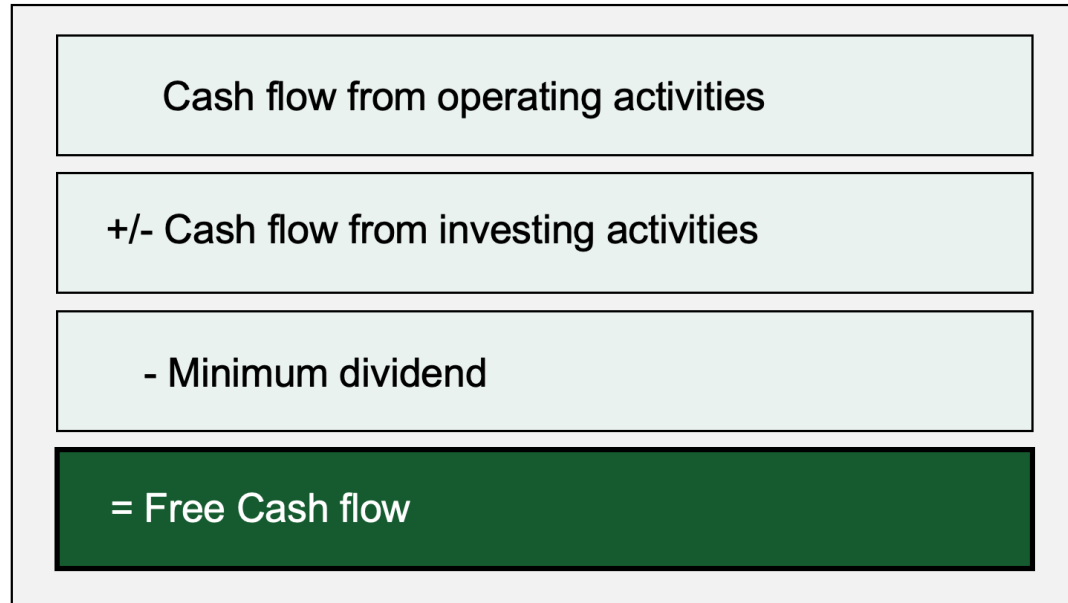
**Consolidated
Financial Statements
of the Nestlé Group 2023**



Financing activities			
Dividend paid to shareholders of the parent	17	(7 816)	(7 829)
Dividends paid to non-controlling interests		(174)	(323)
Acquisition of non-controlling interests		(27)	(52)
Purchase of treasury shares ^(b)		(4 678)	(5 234)
Inflows from bonds and other long-term financial debt	12	7 992	9 806
Outflows from bonds, lease liabilities and other long-term financial debt	12	(5 055)	(3 589)
Inflows/(outflows) from short-term financial debt	12	2 396	(2 537)
Financing cash flow		(7 362)	(9 758)

Inflow from issuing new bonds and loans, as well as outflow for maturing bonds and loans apply at the same time.

The free cash flow is an indicator for how much flexibility a company had during the year to decide on it's future and ventures.



For large companies, a minimum dividend must be assumed (i.e. same as last year). For investing activities, only replacement investment might be considered, but such information is difficult to retrieve.

Free Cash Flow is (currently) not regulated by IFRS, US GAAP nor Swiss GAAP FER, so companies may choose different calculations.



In millions of CHF

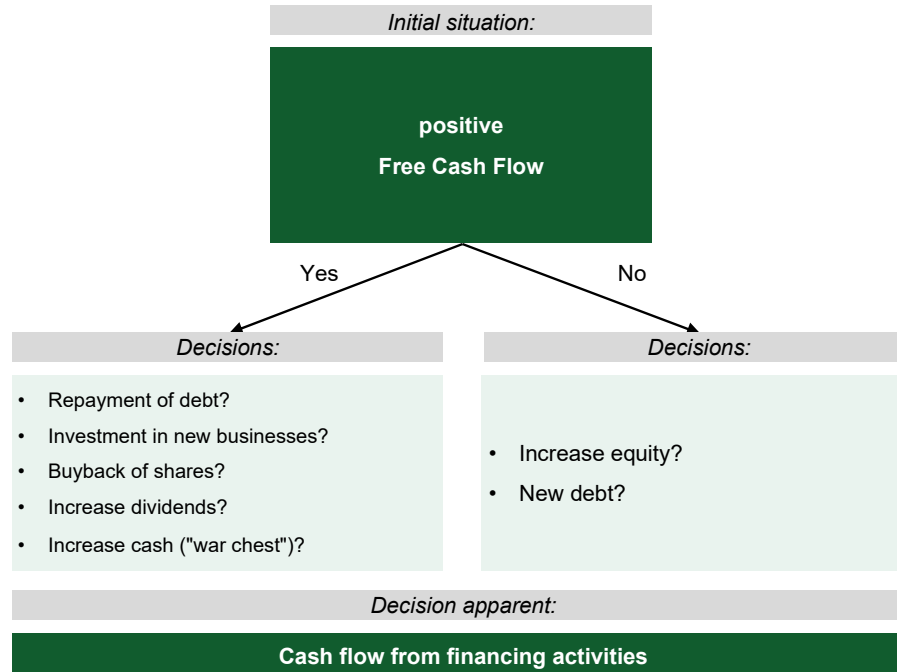
	2024	2023
Operating cash flow	16 675	15 941
Capital expenditure	(5 638)	(5 714)
Expenditure on intangible assets	(325)	(489)
Other investing activities	(46)	665
Free cash flow	10 666	10 403



	2024 MCHF	2023 MCHF
Net cash from/used in (-) operating activities ¹	847.6	857.9
Purchase/sale of property, plant and equipment and intangible assets ¹	-188.9	-193.0
Repayments of lease liabilities ¹	-16.5	-16.7
Interest and other financing cost paid, net	-29.2	-22.9
Free cashflow	613.0	625.3

The Free Cash Flow uses known positions but compares them in a way to indicate the level of financial flexibility from within the company. It is often used as indication for next year (if business is stable).

Cash flow serves as an important basis for decisions on investment and/or financing.



Cash flow should never be looked at for one year only, instead for 3 to 5 years.

The third lecture discusses the information presented in the Statement of Profit or Loss and the Statement of Cash Flows.

1. Statement of Profit or Loss
2. Statement of Cash Flows
3. Effect on profit and effect on cash

The profit effect and cash effect are disclosed in different statements of financial reporting and at different points in time.

Example of trading business using three-account method **with** perpetual inventory

	Purchase of goods (invoice)	Payment to supplier	Sales of goods (invoice)	Payment from customer
Statement of Profit or Loss	No effect Expenses are recorded together with sales	No effect Only cash outflow and lower liabilities	Profit Sales and expenses are considered	No effect Only cash inflow and lower receivables
Statement of Financial Positions	No cash effect Inventory increase Payables increase	Cash outflow Payables decrease	No cash effect Receivables increase Inventory decrease	Cash inflow Receivables decrease
Statement of Cash Flows	No effect No cash flow	Cash outflow Supplier payment	No effect No cash flow	Cash inflow Customer payment

Profit effect and cash effect may apply in different periods.

Example how the different statements are related and how business transactions roll through the statements.

How are the following transactions reflected in the statement of financial positions, profit or loss, and cash flows?

- On August 30, 2023, Trend Ltd. receives shirts from supplier for CHF 100 000, against invoice.
- On September 29, 2023, Trend Ltd. pays the invoice by bank transfer.
- On October 30, 2023, Trend Ltd. sells all shirts to a customer for CHF 150 00, against invoice.

Date	... financial positions	... profit or loss	... cash flows
Aug 30, 2023			
Sep 29, 2023			
Oct 30, 2023			

Example how the different statements are related and how business transactions roll through the statements.

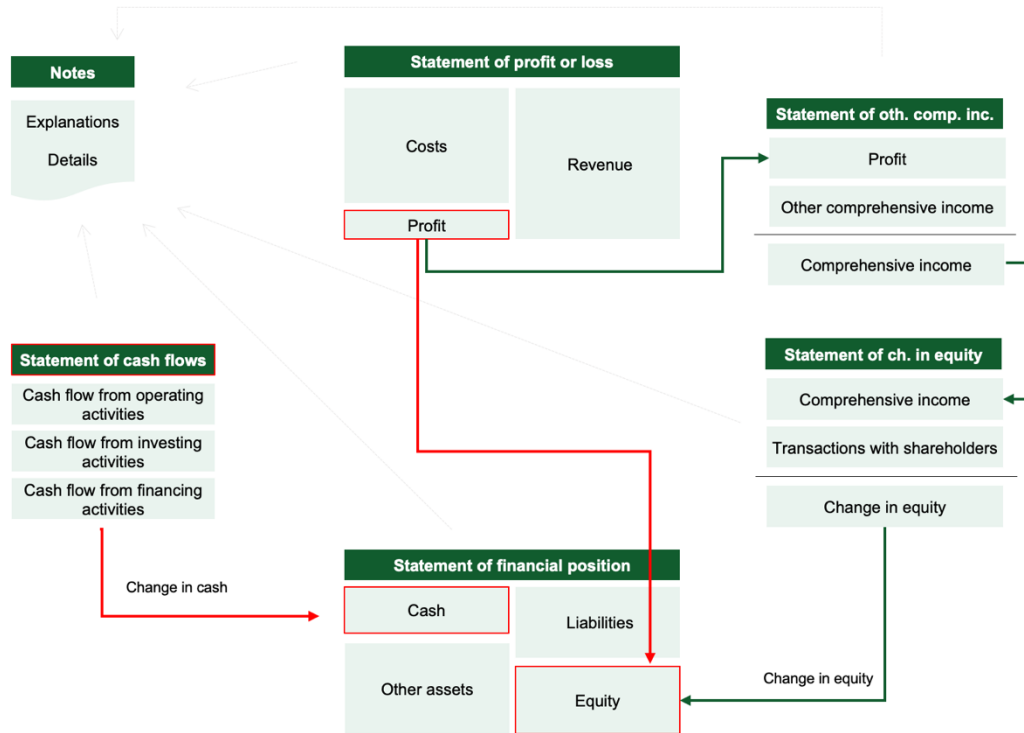
How are the following transactions reflected in the statement of financial positions, profit or loss, and cash flows?

- On August 30, 2022, Trend Ltd. receives shirts from supplier for CHF 100 000, against invoice.
- On September 29, 2022, Trend Ltd. pays the invoice by bank transfer.
- On October 30, 2022, Trend Ltd. sells all shirts to a customer for CHF 150 00, against invoice.

Date	... financial positions	... profit or loss	... cash flows
Aug 30, 2022	Payables TCHF +100 Inventory TCHF +100		
Sep 29, 2022	Cash TCHF -100 Payables TCHF -100		Operating TCHF -100
Oct 30, 2022	Receivables TCHF +150 Inventory TCHF -100	Expenses for trading goods TCHF -100 Sales from trading goods CHF +150	

*For purchase of materials, the three-account method
with perpetual inventory applies.*

Changes in cash flows change the level of cash at the end of the period, profit potentially increases equity in the SoFP.



The Statement of Comprehensive Income adds information about other comprehensive income, i.e. ‘shortly expected profit or loss’.

Consolidated Financial Statements of the Nestlé Group 2024



In millions of CHF				
	Notes	2024	2023	
Profit for the year recognized in the income statement		11 174	11 509	
Currency retranslations, net of taxes	17	798	(4 154)	
Changes in cash flow hedge and cost of hedge reserves, net of taxes		895	194	
Share of other comprehensive income of associates and joint ventures	14/17	14	(197)	
Items that are or may be reclassified subsequently to the income statement		1 707	(4 157)	
Remeasurement of defined benefit plans, net of taxes	10/17	318	(623)	
Fair value changes of equity instruments, net of taxes	17	33	163	
Share of other comprehensive income of associates and joint ventures	14/17	225	(40)	
Items that will never be reclassified to the income statement		576	(500)	
Other comprehensive income for the year	17	2 283	(4 657)	
Total comprehensive income for the year		13 457	6 852	

Example: if a USD payment applying on Jan 15 is hedged, there is a profit or loss from this hedge as per Dec 31. However, the effective profit or loss might change until Jan 15 because the exchange rate will change until Jan 15. So the current profit or loss at Dec 31 is ‘theoretical’. Should the current profit or loss be disclosed?

The Statement of Changes in Equity shows the changes for all the positions of the equity, including results from profit distribution.

Consolidated Financial Statements of the Nestlé Group 2024



In millions of CHF

	Share capital	Treasury shares	Translation reserve	Other reserves	Retained earnings	Total equity attributable to shareholders of the parent	Non-controlling interests	Total equity
Equity as at January 1, 2024	267	(5 155)	(27 581)	(50)	68 261	35 742	645	36 387
Profit for the year	—	—	—	—	10 884	10 884	290	11 174
Other comprehensive income for the year	—	—	793	894	579	2 266	17	2 283
Total comprehensive income for the year	—	—	793	894	11 463	13 150	307	13 457
Dividends	—	—	—	—	(7 816)	(7 816)	(174)	(7 990)
Movement of treasury shares	—	(4 544)	—	—	(15)	(4 559)	—	(4 559)
Equity compensation plans	—	151	—	—	(19)	132	—	132
Changes in non-controlling interests ^(a)	—	—	—	—	(181)	(181)	(3)	(184)
Reduction in share capital ^(b)	(5)	5 265	—	—	(5 260)	—	—	—
Total transactions with owners	(5)	872	—	—	(13 291)	(12 424)	(177)	(12 601)
Other movements ^(c)	—	—	—	(481)	(70)	(551)	1	(550)
Equity as at December 31, 2024	262	(4 283)	(26 788)	363	66 363	35 917	776	36 693

The transactions with owners, mainly dividends and increase in treasury shares (i.e. profit distribution), are lower than the profit plus other comprehensive income, i.e. the equity increases.

Summary lecture 3

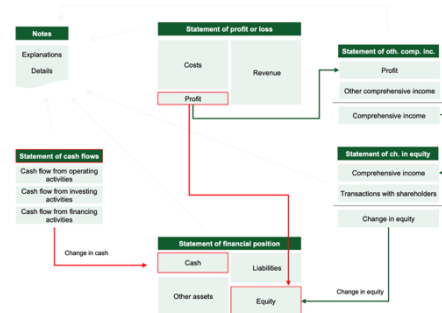
Statement of Profit or Loss

Expenses	Revenue
Cost of goods sold (COGS)	Sales revenue
Other costs (presented by cost department)	
EBIT	

Statement of Cash Flows

Expenses	Revenue
Total costs for the period (presented by cost type)	Sales revenue
EBIT	Inventory increase

Profit effect and cash effect



Statement of cash flows
Source of funds / funds commitment statement
+ Cash flow from operating activities
+ Cash flow from investing activities
+ Cash flow from financing activities
+/- Currency effects on cash and cash equivalents
▲ = Change in cash and cash equivalents
Explanations concerning statement of cash flows in notes

Cash flow from operating activities
+/- Cash flow from investing activities
- Minimum dividend
= Free Cash flow

For the exam

4.1	Motor Ltd. produces and sells cars. In the year 2014, it has produced 1,500 cars and sold 1,300 cars at a price of CHF 20,000 per car. The COGS per car is CHF 11,000. The expense positions (in CHF) are as follows: <table><tr><td></td><td>Production</td><td>Admin.</td><td>Marketing</td><td>Total</td></tr><tr><td>Material</td><td>5,000,000</td><td>1,000,000</td><td>800,000</td><td>6,800,000</td></tr><tr><td>Personnel</td><td>8,500,000</td><td>3,700,000</td><td>3,400,000</td><td>15,600,000</td></tr><tr><td>Depreciation</td><td>3,000,000</td><td>300,000</td><td>300,000</td><td>3,600,000</td></tr><tr><td>Total</td><td>16,500,000</td><td>5,000,000</td><td>4,500,000</td><td></td></tr></table> The following additional information applies: • Interest paid is CHF 1,000,000. • Motor Ltd. pays a pre-decided dividend of CHF 500,000. • The tax rate is 30% Based on the above information, prepare a statement of profit or loss using the total cost approach.		Production	Admin.	Marketing	Total	Material	5,000,000	1,000,000	800,000	6,800,000	Personnel	8,500,000	3,700,000	3,400,000	15,600,000	Depreciation	3,000,000	300,000	300,000	3,600,000	Total	16,500,000	5,000,000	4,500,000		8
	Production	Admin.	Marketing	Total																							
Material	5,000,000	1,000,000	800,000	6,800,000																							
Personnel	8,500,000	3,700,000	3,400,000	15,600,000																							
Depreciation	3,000,000	300,000	300,000	3,600,000																							
Total	16,500,000	5,000,000	4,500,000																								
4.2	List four aspects that distinguish between the ‘cost of sales format’ and the ‘total expenses format’.	2																									

For the exam

4.1	Motor Ltd. produces and sells cars. In the year 201 cars and sold 1,300 cars at a price of CHF 20,000 per car is CHF 11,000. The expense positions (in CHF) are as follows: <table> <tr> <th></th><th>Production</th><th>Admin.</th><th>Marketing</th></tr> <tr> <td>Material</td><td>5,000,000</td><td>1,000,000</td><td>800,000</td></tr> <tr> <td>Personnel</td><td>8,500,000</td><td>3,700,000</td><td>3,200,000</td></tr> <tr> <td>Depreciation</td><td>3,000,000</td><td>300,000</td><td>300,000</td></tr> <tr> <td>Total</td><td>16,500,000</td><td>5,000,000</td><td>4,600,000</td></tr> </table> The following additional information applies: - Interest paid is CHF 1,000,000. - Motor Ltd. pays a pre-decided dividend of CHF 1,000,000. - The tax rate is 30% Based on the above information, prepare a statement of the total cost approach.				Production	Admin.	Marketing	Material	5,000,000	1,000,000	800,000	Personnel	8,500,000	3,700,000	3,200,000	Depreciation	3,000,000	300,000	300,000	Total	16,500,000	5,000,000	4,600,000
	Production	Admin.	Marketing																				
Material	5,000,000	1,000,000	800,000																				
Personnel	8,500,000	3,700,000	3,200,000																				
Depreciation	3,000,000	300,000	300,000																				
Total	16,500,000	5,000,000	4,600,000																				
4.2	List four aspects that distinguish between the 'cost of goods sold' and 'total expenses format'.																						

4.1

Total cost approach	in Mio.
Revenue	26.00
Change in inventory	2.20
Material expenses	-6.80
Personnel expenses	-15.60
Depreciation	-3.60
EBIT	2.20
Financial expenses	-1.00
EBT	1.20
taxes	-0.36
Profit of the period	0.84

Correct using of total cost approach (change in inventory and cost types) **2P**
Correct amount revenue **1P**
Correct amount change in inventory **1P**
Correct amounts expenses **each 0.5P**
Correct amount taxes **1P**
Correct sums incl. profit **1P** (for each one missing **0.5P deduction**)

4.2

Cost of goods sold approach:

- Structuring expenses by the operational functions of the company
- Total amounts of expense types not disclosed
- Discloses the effective costs (COGS) that relate to the revenue
- Change in inventory and down consumption are not disclosed
- Disclosing gross profit, and therewith calculation of gross profit margin is possible
- Is seen as more modern approach

0.5P for each correct answer, **max. 2P**

8

2

For the exam

1.7	David Harleyson Ltd. trades motorcycles. In the year 2014, 40 motorcycles were purchased from the supplier for CHF 35,000 each, and 35 were sold to customers for CHF 44,000 each, with the following booking entries: • Expenses for Goods & Services / Cash 1,400,000 • Cash / Sales from Goods & Services 1,540,000 • Inventory / Expenses for Goods & Services 175,000 Calculate the Cash Flow from operating activities using both the direct and the indirect methods. Also list one advantage and one disadvantage of each of the methods.	6
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For the exam

1.7	David Harleyson Ltd. trades motorcycles. Motorcycles were purchased from the supplier customers for CHF 44,000 each, and the following information is available: • Expenses for Goods & Services • Cash / Sales from Goods & Services • Inventory / Expenses for Cash Calculate the Cash Flow from operating activities using both the direct and indirect methods. Also list one advantage and one disadvantage of each method.
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1.7	Cash flow from operating activities Direct method: <table><tr><td>Cash received from sales</td><td>1,540,000</td></tr><tr><td>- cash paid for purchases</td><td>1,400,000</td></tr><tr><td>Cash flow from operating activities</td><td>140,000</td></tr></table> Indirect method: <table><tr><td>Profit of the year</td><td>315,000</td></tr><tr><td>- increase in inventory</td><td>175,000</td></tr><tr><td>Cash flow from operating activities</td><td>140,000</td></tr></table> Direct method <u>Advantage:</u> it offers additional information (cash inflows and cash outflows, or cash-effective income and cash-effective expenses). <u>Disadvantage:</u> the separate data collection requires significant effort. Indirect method <u>Advantage:</u> minimal effort because information from existing financial reporting is used. <u>Disadvantage:</u> The cash flow from operating activities can be defined differently by different companies which makes comparison between different companies difficult. book p. 203 (exercises) 2P for each correct calculation, 0.5P for each advantage and disadvantage, max. 6P	Cash received from sales	1,540,000	- cash paid for purchases	1,400,000	Cash flow from operating activities	140,000	Profit of the year	315,000	- increase in inventory	175,000	Cash flow from operating activities	140,000	6
Cash received from sales	1,540,000													
- cash paid for purchases	1,400,000													
Cash flow from operating activities	140,000													
Profit of the year	315,000													
- increase in inventory	175,000													
Cash flow from operating activities	140,000													

For the exam

5.1

Use the following information to compile the statement of cash flows for the year 2014 for a publishing company (use the **scheme in the solution sheets**). In 2014, a dividend of CHF 17 million was paid.

8

Statement of financial position	Dec 31, 13 mil. CHF	Dec 31, 14 mil. CHF	Change mil. CHF
Cash & Bank	23	25	+2
Receivables	13	7	-6
Inventories	16	19	+3
Current assets	52	51	-1
Investments	3	0	-3
Machines & Tools	25	29	+4
Non-current assets	28	29	+1
Total assets	80	80	0
Liabilities	12	11	-1
Loans	27	23	-4
Provisions	2	9	+7
Total liabilities	41	43	+2
Share capital	23	23	0
Profit brought forward	12	1	-11
Profit of the period	4	13	+9
Total equity	39	37	-2
Total liability & equity	80	80	0

Statement of profit or loss	2013 mil. CHF	2014 mil. CHF
Sales	135	148
Change in Inventory	-3	12
Gross Income	132	160
Material expenses	-85	-81
Personnel expenses	-28	-35
Misc. operational expenses	-13	-12
Depreciation	-4	-3
EBIT	2	29
Financial result	2	1
Taxes	0	-17
Profit of the period	4	13

Pay attention: empty boxes are not graded.

5.1

Calculation of Cash Flow

8

Operating activities:		
EBIT		
Depreciation / appreciation on non-current assets		
Increase / decrease of provisions		
Increase / decrease of inventories, receivables and other non-current assets that are not investing or financing		
Increase / decrease of payables and other liabilities that are not investing or financing		
Paid Interest		
Paid Taxes		
= Cash Flow from Operating Activities		
Investing activities:		
Cash inflow from disinvestment of plant & equipment and intangible assets		
Payment for investment of plant & equipment and intangible assets		
Cash inflow from disinvestment of financial assets		
Payment for investments in investing securities		
= Cash Flow from Investing Activities		
Financing activities:		
Cash inflow from increase of share capital		
Payment to owners (dividend)		
Cash inflow from issuing bonds and entering into financial debts		
Payment for paying back bonds and financial debts		
= Cash Flow from Financing Activities		

For the exam

5.1 Use the following information to compile the statement of cash flows for the year 2014 for a publishing company (use the **scheme in the sheets**). In 2014, a dividend of CHF 17 million was paid.

Statement of financial position	Dec 31, 13 mil. CHF	Dec 31, 14 mil. CHF
Cash & Bank	23	25
Receivables	13	7
Inventories	16	19
Current assets	52	51
Investments	3	0
Machines & Tools	25	29
Non-current assets	28	29
Total assets	80	80
Liabilities	12	11
Loans	27	23
Provisions	2	9
Total liabilities	41	43
Share capital	23	23
Profit brought forward	12	1
Profit of the period	4	13
Total equity	39	37
Total liability & equity	80	80

Statement of profit or loss	2013 mil. CHF	20 mil. CHF
Sales	135	135
Change in Inventory	-3	-3
Gross income	132	132
Material expenses	-85	-85
Personnel expenses	-28	-28
Misc. operational expenses	-13	-13
Depreciation	-4	-4
EBIT	2	2
Financial result	2	2
Taxes	0	0
Profit of the period	4	4

Pay attention: empty boxes are not graded.

5.1

Operating activities:			
+	EBIT		29
+/-	Depreciation / appreciation on non-current assets	Depreciation machines	+3
+/-	Increase / decrease of provisions	provision	+7
-/+	Increase / decrease of inventories, receivables and other non-current assets that are not investing or financing	receivables inventory	+6 -3
+/-	Increase / decrease of payables and other liabilities that are not investing or financing	payables	-1
+	Paid Interest	Financial result	+1
-	Paid Taxes	taxes	-17
=	Cash Flow from Operating Activities	CF oper	+25

Investing activities:

+	Cash inflow from disinvestment of plant & equipment and intangible assets	Machines	0
-	Payment for investment of plant & equipment and intangible assets	Machines	-7
+	Cash inflow from disinvestment of financial assets		+3
-	Payment for investments in investing securities	Investments	0
=	Cash Flow from Investing Activities	CF invest	-4

Financing activities:

+	Cash inflow from increase of share capital		0
-	Payment to owners (dividend)	Dividend	-17
+	Cash inflow from issuing bonds and entering into financial debts	Loan	0
-	Payment for paying back bonds and financial debts		-4
=	Cash Flow from Financing Activities	CF fin	-21

8

For the exam

5.2	List the two aspects that are most critical based on your assessment of this cash flow situation.	2
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5.2	Payment of dividend Change of receivables Change of provision Paying back loans (financial liabilities) Allow consistent answers, each argument 1P, max. 2P	2
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Walking in a 'square' which effectively is a triangle.

How many places do exist on planet earth where you can
Walk:

- 1 km south
- 1 km east
- 1 km north

And you end up at the same place that you started from?



Answer options:

0 1 2 3 10 1000 10000 unlimited